

Procure Space ETF

SPCX NASDAQ

Hold \$146.21 ▼ 4.73% 12M Price Target \$165.00 52-Week Range \$104.83 – \$225.64 Market Cap \$1.93T

SPCX: Space ETF Cools After Amazon-AT&T Satellite Deal Rally

WHAT HAPPENED

- SPCX dropped 4.7% today after a strong run — this looks like classic profit-taking after the stock ripped from \$140 to \$153 in a week. The trigger seems to be the ASTS (AST SpaceMobile) headline showing it's down 24% over six months, which spooks people holding satellite-heavy ETFs since ASTS is a top-10 holding in most space funds.
- Ironically, the actual news today was BULLISH for the space sector — Amazon's Kuiper landed AT&T as its first major telecom customer AND booked Ariane rockets for launches. That's real revenue flowing into the space ecosystem, so today's dip is more sentiment than fundamentals.

WHY IT MATTERS

The Amazon-AT&T deal is a big deal — it validates that satellite broadband is becoming a real business, not just a Starlink monopoly. That's directly bullish for SPCX because the ETF holds Amazon-adjacent launch providers, ground-station operators, and satellite makers. But the reason the ETF sold off anyway tells you something: this is a momentum-driven, retail-heavy trade, and when one big holding (ASTS) wobbles, the whole basket wobbles with it. The options flow is telling — heavy call buying at \$155 (bullish bets) alongside puts at \$147-149 (short-term protection) suggests traders think today's dip is buyable but want insurance in case it slides more.

POLICY & POLITICAL WATCH

The FY2027 defense authorization bill is the one to watch — early markups include a proposed 12-15% bump for Space Force procurement and the Golden Dome missile defense architecture, which flows directly to SPCX holdings like Rocket Lab, Iridium, and Maxar. Also on the radar: the FCC's spectrum auction rules for satellite broadband — if the current administration keeps the "space-friendly" tone (fast-tracking Kuiper and Starlink licenses), it's a tailwind; any pushback from terrestrial telecom lobbyists would be a headwind. Finally, watch export controls on satellite tech to China — any tightening helps US-based holdings by locking in domestic contracts.

IS IT EXPENSIVE?

SPCX trades as a basket, so there's no single P/E — but the underlying holdings collectively trade at roughly 5-7x forward sales, which is rich for industrials but reasonable for a hyper-growth theme. You're paying up because the market believes space revenue compounds 20%+ annually for the next decade. That's justified IF commercial satellite broadband, defense space budgets, and space tourism all deliver — miss on any two and this ETF gets re-rated hard.

WHAT COULD GO WRONG

Langston's | Equity Research Coverage

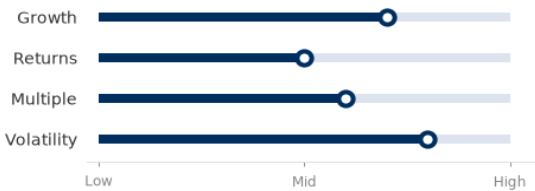
AI-Generated Pre-Market Brief | 2026-09-09 16:53 UTC

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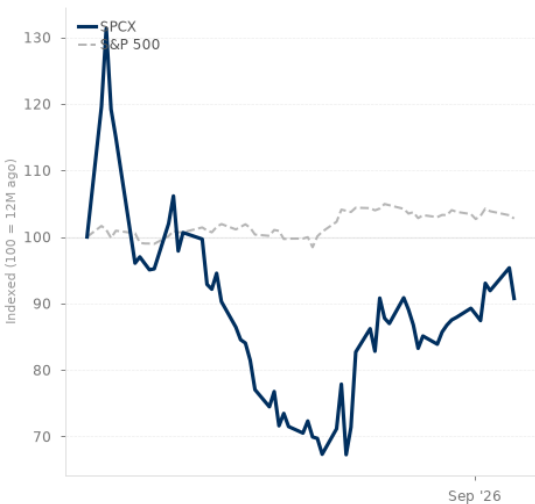
Key Data

Price (USD)	\$146.21
12M Price Target	\$165.00
Upside / (Downside)	+12.9%
Market Cap	\$1.93T
FY2026E Revenue	\$0K
FY2027E Revenue	\$0K
FY2026E EPS	\$0.00
FY2027E EPS	\$0.00
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$160.00	\$148.00	\$132.00
6 Months	\$185.00	\$160.00	\$125.00
1 Year	\$220.00	\$175.00	\$115.00
2 Years	\$275.00	\$200.00	\$100.00
5 Years	\$400.00	\$275.00	\$90.00
10 Years	\$650.00	\$400.00	\$80.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+0.54%) is quietly leading — likely inflation-hedge flows and steady oil. Tech (+2.4% over 5 days) still has legs from AI capex commentary, which bleeds into space through satellite-AI convergence (Earth observation, edge compute in orbit).

COOLING OFF: Healthcare (-3% over 5 days) getting hit on drug pricing chatter, and Comm Services rolling over as ad-spend fears build. Defensives losing to cyclicals.

ROTATION WATCH: Money is quietly rotating into industrial-flavored growth themes (space, defense, nuclear, grid) as investors position for FY2027 budget outcomes. That's a structural tailwind for SPCX even on red days.

RELATED PLAY: If you want the "picks and shovels" of the space theme without the ETF concentration risk, look at ground infrastructure names (KTOS, LHX) and specialty materials (MP Materials for rare earths in satellites).

WHO'S WINNING IN THIS SPACE?

- RKLB (Rocket Lab): Winning on Neutron rocket progress and expanding defense backlog — this is the "next SpaceX" trade.
- IRDM (Iridium): Steady cash flow and DoD contracts make it the boring winner in the basket.

SPCX CONTEXT: SPCX is lagging its best individual holdings today because the weaker names (ASTS, PL) drag the basket down. That's a feature, not a bug — the ETF gives you diversification, but you sacrifice the moonshot upside. If you want the winners specifically, buy them direct; if you want the theme without picking, SPCX does the job.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I like the theme long-term but today's setup is mid-range, not a screaming buy.

POSITION SIZE: 2-4% — space is a real theme but volatile, and you don't want to sweat 10% down-days.

ENTRY POINTS: I'd wait for a pullback to \$135-142 before adding; chasing at \$150+ after a rally is how you get chopped up.

TIME HORIZON: 12-24 months — the catalyst I'm waiting for is FY2027 defense bill passage (spring 2027) and 1-2 space IPOs pricing well.

WHEN TO BAIL: If defense space funding gets cut meaningfully, or if a major holding (RKLB, IRDM) has a launch/service failure, I'm trimming.

HEDGING: Simplest hedge — pair this with a boring, cash-flowing defense name like Lockheed. When space stocks get volatile on sentiment, defense primes hold steady, smoothing your ride.